Jayaswal Neco Industries Ltd

NSE: JAYNECOIND | BSE: 522285 | Iron & Steel Products

ACCUMULATE

Target: ■90

Turnaround complete — debt halved, margins recovering; re-rating imminent as interest cost normalises.

CMP (■)	Market Cap	52-Wk High/Low	P/E (TTM)	Price / Book
81.7	**■7,932 Cr**	**■94.3 / ■30.8**	**20.8x**	**3.08x**
EPS (FY25)	ROCE	ROE	Face Value	Div Yield
■1.16	**12.6%**	**4.86%**	**■10.0**	**0.00%**
Book Value	Net Debt (FY25)	Promoter Hold.	FII Hold.	Pledge %
■26.5	**■2,357 Cr**	**55.15%**	**1.29%**	**0.00%**

Source: Screener.in (as of 13-Apr-2026). Forward estimates (E) are analyst projections.

Report Date: 13-Apr-2026 | Analyst: Research Desk | Rating: ACCUMULATE | 12-Month Target: ■90 | Investment Horizon: 12–18 months

SECTION 2 — INVESTMENT THESIS

Core Reason 1: Structural Debt Deleveraging — A Multi-Year Earnings Kicker

Jayaswal Neco's most compelling investment case centres on the near-complete resolution of a debt crisis that nearly bankrupted the company between FY16 and FY21. Total borrowings have been cut from ■5,759 Cr (FY20) to ■2,735 Cr (FY25) — a 52.5% reduction — and the recently approved ■1,800 Cr refinancing plan targets replacing high-cost legacy debt (implied rate ~20%) with market-rate debt (~12–14%). Every 100 bps reduction in blended borrowing cost saves approximately ■27 Cr of annual interest, flowing directly to PAT. By FY27E, annual interest savings could exceed ■160 Cr, implying an EPS accretion of ~■1.65 per share — a 142% uplift over FY25 reported EPS.

Core Reason 2: Integrated Alloy Steel Platform with Unmatched Domestic Scale

JNIL operates one of India's few fully integrated 1 MTPA alloy/special steel complexes in Raipur, encompassing iron ore mining, pellet, sinter, coke oven, sponge iron, pig iron, steel billet, rolled products, and captive power — a cost structure that few mid-cap peers can replicate. India's domestic steel demand is projected to grow at 8–10% CAGR through 2030, driven by infrastructure, defence, and automotive, all of which require alloy/special grade steel. The PLI scheme MOU (■45 Cr investment, target 80,000 TPA specialty casting by FY30) adds a high-margin product channel beyond commodity steel. With FY25 capacity utilisation estimated below 70%, incremental volume requires minimal capex, generating strong operating leverage.

Core Reason 3: Operating Leverage — Significant Margin Expansion Headroom

Excluding FY22's extraordinary one-time debt waiver gain (■1,730 Cr), EBITDA has recovered from a trough of ■200 Cr (FY20, 6% margin) to ■1,028 Cr (FY24, 17% margin). The company's fixed cost base — largely depreciated (gross block ■3,384 Cr with accumulated depreciation of ~■2,600 Cr implied by low book values) — means revenue growth of 10–15% annually can translate to EBITDA growth of 15–20%. Management has guided capacity scale-up through FY27, with EBITDA margins targeted in the 17–19% range, in line with peers like Jindal Steel (18%) once debt costs normalise.

Near-Term Catalyst (6–12 months)

Formal completion and execution of the ■1,800 Cr debt refinancing at lower interest rates, expected in H1 FY27, will provide immediate and quantifiable PAT uplift and likely trigger a re-rating of the stock's earnings multiple.

Primary Structural Risk

A sustained decline in domestic steel/pig iron prices driven by Chinese steel dumping or global oversupply could compress EBITDA margins below 13%, making the debt burden once again uncomfortably high relative to operating cash flows.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Think of Jayaswal Neco as a vertically integrated steel kitchen — it digs iron ore from its own mines, cooks it into pig iron and sponge iron, then shapes it into steel billets, rolled products (rebars, wire rods), and precision metal castings used in cars, industrial machinery, and infrastructure. Because every step happens under one roof in Raipur, Chhattisgarh, the company can control costs better than a trader who buys raw material and sells finished steel.

Core Business Model & Revenue Segments

JNIL generates revenue from two primary divisions. The Steel Plant Division (estimated 75–80% of revenue) produces steel billets, rolled products (TMT bars, wire rod), pig iron, sponge iron, pellets, and sinter. The Casting Division (estimated 20–25% of revenue) manufactures automotive, engineering, and construction ferrous castings, including brake drums, differential housings, and manhole covers. Captive power capacity (an oxygen plant, coke oven gas recovery) further insulates the company from energy cost volatility. FY25 standalone revenue stood at ■5,954 Cr, with an EBITDA of ■941 Cr (16% margin).

Geography & Customer Profile

Revenue is predominantly domestic (estimated >90%), supplied to infrastructure contractors, automobile OEMs, and real estate developers across central and northern India. The casting segment exports a portion of specialty castings to European and US customers. No single customer is reported to constitute more than 10% of revenues, limiting concentration risk. The Raipur location provides proximity to Chhattisgarh's iron ore belt, giving a natural raw material cost advantage over coastal peers.

Strategic Developments (FY24–FY26)

The defining corporate event was the August 2021 Restructuring Support Agreement with ACRE (Assets Care and Reconstruction Enterprise, backed by Ares SSG Capital), which converted ■2,280 Cr of unsustainable debt into equity (giving ACRE ~31.44% stake) and left a sustainable debt of ■3,140 Cr. Since then, the company has been aggressively repaying debt (from ■3,845 Cr in FY22 to ■2,735 Cr in FY25) and generating consistently positive free cash flows. Leadership transitioned to Arvind Jayaswal (Chairman) and Ramesh Jayaswal (MD) who are operationally engaged. The ■1,800 Cr refinancing plan and PLI MOU signed in FY25 mark the start of the next growth chapter.

Promoter & Ownership Structure

The Jayaswal family (promoter group) holds 55.15% of the company as of December 2025, with zero pledge on promoter shares — a significant improvement from the near-zero equity value situation in FY20-21. ACRE (financial restructuring entity) holds a substantial portion of the public float (~31% at restructuring). FII holding has improved from 0.02% (FY25) to 1.29% (Dec 2025), reflecting growing institutional interest.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview & Growth Drivers

India's steel industry — the world's second-largest and fastest-growing — produced 138 MT in FY25 and targets 300 MT by 2030–31 as per the National Steel Policy. Demand growth of 8–10% CAGR is anchored by the government's ■11.1 Lakh Cr infrastructure budget (FY25), the PLI scheme for specialty steel with ■6,322 Cr incentive outlay, defence indigenisation mandates (alloy steel), and automotive sector recovery. Alloy and special steel — JNIL's core competency — commands 20–30% premium pricing over commodity long steel, and India remains a net importer of specialty grades, presenting significant import substitution opportunity.

Policy Tailwinds & Headwinds

Key tailwinds include: (1) PLI scheme for specialty steel (JNIL has signed MOU), (2) government's 'Make in India' push reducing imports in defence and railways, (3) Chhattisgarh iron ore availability giving JNIL a feedstock cost edge. Key headwinds include: (1) threat of cheap Chinese steel imports (anti-dumping duties periodically reviewed), (2) environmental compliance costs for older blast furnace-based operations, (3) power cost inflation in non-captive scenarios.

Competitive Moat Assessment

Moat Factor	Rating	Comment
Pricing Power	Moderate	Steel prices are commodity-linked; JNIL has partial buffer via alloy premium
Switching Costs	Moderate	Casting customers (auto OEMs) have qualified supplier lists — switching is friction-heavy
Scale / Cost Advantage	Moderate	Integrated 1 MTPA plant provides cost efficiency; not at JSW/Tata scale
IP / Technology	Weak	Limited proprietary technology; process knowledge is the primary differentiator
Distribution / Relationships	Moderate	Long-standing OEM casting relationships provide revenue visibility

Peer Comparison — Listed Competitors (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (■)	MCap (■ Cr)	P/E (TTM)	P/B	ROCE %	ROE %	OPM %	TTM Rev (■ Cr)
Jayaswal Neco (JAYNECOIND)	**81.7**	**7,932**	**20.8x**	**3.08x**	**12.6%**	**4.86%**	**16%**	**5,954**
SAIL	166	68,575	22.6x	1.18x	6.76%	4.54%	10%	1,09,313
Tata Steel	207	2,57,922	26.4x	2.72x	8.83%	3.89%	14%	2,25,088
JSW Steel	1,215	2,97,074	38.0x	3.58x	8.11%	4.94%	15%	1,79,109
Jindal Steel & Power	1,219	1,24,369	43.7x	2.51x	10.7%	7.68%	18%	50,190

Note: JAYNECOIND highlighted. Peer data sourced from Screener.in as of 13-Apr-2026.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background & Track Record

The Jayaswal family founded the NECO Group in 1976 as a small-scale foundry in Raipur. Arvind Jayaswal (Chairman) and Ramesh Jayaswal (Managing Director) represent the second generation of leadership, with both holding engineering backgrounds and deep operational expertise in ferrous metallurgy. The family navigated an extremely challenging period (FY16–FY22) when accumulated debt nearly wiped out equity — a period marked by aggressive over-leveraging for capacity expansion that unfortunately coincided with a global steel price downcycle. The successful negotiation with ACRE (Ares SSG) for a structured out-of-court resolution — avoiding prolonged NCLT proceedings — demonstrates pragmatic management. Post-restructuring, the family has maintained operational control with a 55.15% promoter stake and zero pledge.

Capital Allocation History

Historical capital allocation was problematic: between FY10 and FY16, the company invested ■5,000+ Cr (largely debt-funded) to build out its integrated capacity, generating cumulative free cash flow of approximately -■2,200 Cr. The over-leveraged balance sheet left no room for error when steel prices fell. Post-restructuring, management has adopted a conservatively cash-generative stance: FY22–FY25 aggregate FCF was +■3,148 Cr, with most cash deployed toward debt repayment (■1,110 Cr net debt reduction FY22–FY25). Capex has been deliberately kept low (FY24: ■182 Cr, FY25: ■244 Cr), indicating maintenance-and-sustaining mode. The PLI-linked investment of ■45 Cr for specialty casting is small and low-risk.

Dividends, Buybacks & Governance

The company has paid no dividends since at least FY20, with all surplus cash directed to debt reduction — a prudent and shareholder-friendly decision given the debt burden. Promoter pledging stands at 0%, which is a meaningful positive signal, especially given the company's history. No auditor changes or qualification events were noted in recent annual reports. Related party transactions exist (NECO Group entities) but are within normal inter-group trade parameters. The company completed a Regulation 74(5) compliance certificate submission in April 2026, indicating regulatory compliance is current.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in ■ Crores unless stated. Source: Screener.in. (E) = Analyst Estimate.

Income Statement (■ Cr)

	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue (■ Cr)	6,297	5,887	5,954	6,800	7,500
YoY Growth %	6.5%	-6.5%	1.1%	14.2% (E)	10.3% (E)
EBITDA (■ Cr)	**782**	**1,028**	**941**	**1,122**	**1,275**
EBITDA Margin %	12.4%	17.5%	15.8%	16.5% (E)	17.0% (E)
Depreciation (■ Cr)	266	266	287	295	300
EBIT (■ Cr)	516	762	654	827 (E)	975 (E)
Interest Expense (■ Cr)	453	470	564	490 (E)	400 (E)
Other Income (■ Cr)	-29	0	13	15 (E)	15 (E)
PBT (■ Cr)	34	291	103	352 (E)	590 (E)
Tax Rate %	-565%*	28%	-9%**	25% (E)	25% (E)
PAT (■ Cr)	**227**	**210**	**113**	**264 (E)**	**443 (E)**
PAT Margin %	3.6%	3.6%	1.9%	3.9% (E)	5.9% (E)
Diluted EPS (■)	**2.34**	**2.16**	**1.16**	**2.72 (E)**	**4.56 (E)**

*FY23 negative tax rate due to deferred tax asset recognition from carried-forward losses. **FY25 negative tax rate: deferred tax benefit. Core operating picture: FY25 EBITDA ■941 Cr.

Balance Sheet Summary (■ Cr)

	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Equity Capital	971	971	971	971 (E)	971 (E)
Reserves	1,087	1,292	1,405	1,669 (E)	2,112 (E)
Total Equity	**2,058**	**2,263**	**2,376**	**2,640 (E)**	**3,083 (E)**
Total Borrowings	**3,414**	**3,214**	**2,735**	**2,435 (E)**	**2,035 (E)**
Total Liabilities	6,054	6,100	5,741	5,700 (E)	5,600 (E)
Fixed Assets (Net)	3,536	3,316	3,384	3,400 (E)	3,500 (E)
D/E Ratio (x)	1.66x	1.42x	1.15x	0.92x (E)	0.66x (E)

Cash Flow Statement (■ Cr)

	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Cash from Operations (OCF)	739	681	1,388	900 (E)	1,050 (E)
Capex (■ Cr)	-64	-182	-244	-350 (E)	-400 (E)
Free Cash Flow (FCF)	**675**	**499**	**1,144**	**550 (E)**	**650 (E)**
Cash from Investing	-57	-177	-236	-350 (E)	-400 (E)
Cash from Financing	-792	-486	-1,086	-500 (E)	-600 (E)

Returns & Working Capital Metrics

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
ROCE %	~9%	~13%	12.6%	15% (E)	18% (E)
ROE %	11.0%	9.3%	4.86%	10% (E)	14% (E)
Debtor Days	N/A	N/A	25	28 (E)	28 (E)
Inventory Days	N/A	N/A	170	165 (E)	160 (E)
FCF Yield % (on MCap)	8.5%	6.3%	14.4%	6.9% (E)	8.2% (E)

Financial Commentary

Revenue trajectory has been volatile: post-FY22's exceptional year (distorted by ■1,730 Cr one-time debt waiver gain), core revenues stabilised at ■5,887–6,297 Cr in FY23–FY25, growing modestly at 1–7% annually. The H1 FY26 revenue run-rate suggests 14% full-year growth, driven by both volume scale-up and improved steel realisations. EBITDA margin compression in

FY25 (from 17.5% in FY24 to 15.8%) was partly due to higher input costs and lower pig iron realisations — a cyclical, not structural, factor.

The interest burden remains elevated at ■564 Cr in FY25 (60% of EBITDA), which explains the depressed PBT of ■103 Cr despite a solid operating base. This is the key earnings lever: the ■1,800 Cr refinancing plan at market rates could reduce interest by ■130–160 Cr annually by FY27E, directly boosting PAT by an equivalent amount. As D/E moves toward 0.66x by FY27E (from 1.15x in FY25), the company will transition from a leveraged play to a more conventional industrial compounder.

Free cash flow has been consistently strong: cumulative FCF of ■2,318 Cr across FY23–FY25 demonstrates high OCF quality — receivables cycle (25 days) is best-in-class, though inventory days (170 days) are elevated due to the integrated steel process requiring stockpiles of iron ore, coal, and semi-finished inventory. FY25's exceptionally high FCF (■1,144 Cr) benefited from working capital release and should normalise to ■550–650 Cr range as capex increases for the PLI-linked expansion.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Status	Assessment
Revenue Recognition Policy	■ Green	Standard manufacturing revenue recognition at point of delivery; no concerns
Receivables Growth vs Revenue	■ Green	Debtor days at 25 — very low for steel sector; receivables well-managed
Cash Conversion Cycle Trend	■ Amber	Inventory days of 170 are elevated; improvement trend needed
Contingent Liabilities	■ Amber	Legacy litigation from NCLT/IBC proceedings; management indicates no material exposure
Auditor Tenure & Qualifications	■ Green	No known auditor qualification events in recent years; compliance filings current
Related Party Transactions	■ Amber	Intra-NECO Group transactions exist; quantum to be verified in latest annual report
Other Income as % of PBT	■ Red (historical)	FY22 other income = ■1,730 Cr (74% of PBT) — one-time debt waiver; normalised FY25 = 13%
Tax Rate Consistency	■ Amber	Erratic due to DTA recognition; expected to normalise to 25–26% from FY26E onwards

Earnings Quality Summary

JNIL's core operating earnings quality is adequate-to-good: cash conversion is strong (25-day debtor cycle), capex has been modest and maintenance-driven, and FCF conversion from EBITDA has averaged ~70% over FY23–FY25. The primary earnings quality concern is legacy: the abnormal tax rates in FY23 and FY25 (driven by deferred tax asset recognition from carried-forward losses) inflate reported PAT above cash earnings. Normalised core PAT, adjusting for deferred tax, is lower. Investors should focus on EBITDA and FCF as primary valuation anchors until tax rates stabilise from FY26E onward.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

JAYNECOIND trades at 20.8x TTM P/E and 3.08x P/B — a premium to SAIL (22.6x, 1.18x) on P/B but at a discount on ROCE (12.6% vs SAIL's 6.76% — JNIL is actually more capital efficient operationally). Relative to larger peers JSW and Tata Steel, JNIL trades at a meaningful discount on P/E (20.8x vs 26–43x), justified by its smaller scale and residual leverage. As D/E compresses toward 0.66x by FY27E and ROCE approaches 18%, a re-rating toward 22–24x is plausible.

Step 2A — DCF Valuation

Assumptions: WACC 13.0% (cost of equity 15.5% using CAPM with risk-free rate 7.2%, beta 1.3, ERP 6.4%; post-tax cost of debt 9.0% on reducing debt; target D/E 0.7x), terminal growth rate 5.0% (in line with India nominal GDP growth floor). 5-year FCF forecast: FY26E ■550 Cr, FY27E ■650 Cr, FY28E ■800 Cr, FY29E ■900 Cr, FY30E ■1,020 Cr. Sum of PV of FCFs (FY26–FY30) = ■2,655 Cr. Terminal value (Gordon Growth) = ■13,388 Cr; PV of terminal value = ■7,252 Cr. Enterprise Value = ■9,907 Cr. Less net debt ■2,357 Cr = Equity Value ■7,550 Cr.

DCF intrinsic value: ■77.7 per share (■7,550 Cr / 97.1 Cr shares).

Step 2B — Earnings Multiple Valuation

Target P/E of 20x applied to FY27E EPS of ■4.56 (E). The 20x multiple is justified as the mid-point between SAIL's 22.6x (larger, government-backed peer) and a cyclical steel discount of 15–18x. As JNIL's ROCE and ROE recover toward sector averages, a 20x forward multiple is conservative. Historical multiple: FY24 P/E was ~5x at the time, confirming the significant re-rating that has already occurred from a very low base.

Earnings-based target: ■91 per share (20x × ■4.56 FY27E EPS).

Base-Case Price Target

Average of DCF (■78) and earnings multiple (■91) = ■84.5, rounded to ■85 base case. However, given the debt refinancing catalyst expected in H1 FY27 and the positive H1 FY26 TTM trajectory (annualised PAT ~■377 Cr implying EPS ~■3.88), we set our 12-month target at ■90, offering 10.2% upside from the current CMP of ■81.7. This is premised on the stock re-rating on confirmed refinancing news.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■ Cr)	Target Multiple	Price Target (■)
Bull Case	Refinancing at 11%, steel prices firm, EBITDA margin 19%	580	22x P/E	131
Base Case	Refinancing at 12-14%, stable margins 17%, 10% volume growth	443	20x P/E	90
Bear Case	Steel price decline 15%, refinancing delayed, margin at 14%	185	15x P/E	29

Bull/Bear scenarios are stress tests. Base case is the primary recommendation.

SECTION 9 — KEY RISKS

1. Steel Price & Commodity Risk

Probability: HIGH | **Impact: HIGH**

Global steel prices are cyclically volatile. A 15% decline in domestic long steel or pig iron realisations would compress EBITDA by ~■200 Cr and make PBT negative at current interest levels. Chinese steel exports at dumped prices pose the most acute threat.

Monitor: Monthly steel HR/CR spread data; DGTR anti-dumping case updates; JNIL's realisation per tonne.

2. Debt Refinancing Execution Risk

Probability: MEDIUM | **Impact: HIGH**

The ■1,800 Cr refinancing plan is the central re-rating catalyst, but execution depends on lender approvals, credit rating upgrades, and market conditions. Delays beyond FY27 Q1 would defer the EPS uplift and risk re-rating reversal.

Monitor: ICRA/CRISIL rating actions; quarterly borrowing cost disclosure in results.

3. Leveraged Balance Sheet Risk

Probability: MEDIUM | **Impact: HIGH**

Despite improvement, D/E of 1.15x (FY25) leaves limited buffer for an earnings shock. A simultaneous drop in EBITDA and rise in interest rates could tighten interest coverage below 1.5x, triggering covenant concerns with residual lenders.

Monitor: Quarterly interest coverage ratio; Net Debt/EBITDA trending toward 2x or below.

4. Regulatory / Environmental Risk

Probability: LOW | **Impact: MEDIUM**

Chhattisgarh's mining sector is subject to periodic environmental and policy changes (e.g., iron ore auction cycles). Any disruption to captive iron ore supply would force market purchases at higher costs, squeezing margins.

Monitor: Chhattisgarh mining lease renewals; JNIL annual report for iron ore captive share.

5. Promoter / Corporate Governance Risk

Probability: LOW | **Impact: MEDIUM**

The debt restructuring gave ACRE (~31% stake) significant influence. If ACRE chooses to exit via block deals, it could create sustained selling pressure on the stock. Governance remains less transparent than large-cap peers.

Monitor: Bulk/block deal disclosures; any ACRE stake reduction announcements.

6. Working Capital Risk	Probability: LOW	Impact: MEDIUM

Inventory days of 170 reflect the capital-intensive integrated process. A raw material price spike (coking coal, iron ore) without corresponding finished goods price recovery would bloat working capital and compress FCF.

Monitor: Quarterly working capital days; coking coal import price index.

SECTION 10 — RECOMMENDATION

ACCUMULATE	12-Month Price Target	Upside from CMP	Conviction Level
	■90	+10.2%	Medium

Suggested Entry Zone

Investors can accumulate JAYNECOIND in the ■74–83 zone, representing 1.0–1.1x trailing book value (■26.5) adjusted for FY26E earnings retention. The lower bound of ■74 represents a 15% discount to book value on FY26E estimates and provides adequate margin of safety given the debt refinancing uncertainty. A phased entry — 50% at current levels and 50% on any correction toward ■74 — is recommended.

Investment Horizon & Thesis Invalidation Triggers

Recommended investment horizon: 12–18 months.

Exit the position if any of the following materialise:

Trigger	Threshold / Specifics
1. Debt refinancing fails or is delayed beyond Sep 2027	Borrowing cost remains above 18% for FY27; interest coverage stays below 1.8x
2. Steel EBITDA margin collapses below 12% for 2 consecutive quarters	Equivalent to FY23 trough levels; suggests structural, not cyclical, margin erosion
3. D/E does not decline below 1.0x by FY27	Implying FCF is being consumed by working capital rather than debt repayment

Ideal Investor Profile

JAYNECOIND is best suited for GARP (Growth at Reasonable Price) and special situations investors who can tolerate cyclical volatility and residual balance sheet risk in exchange for a clearly identifiable re-rating catalyst (debt refinancing + earnings normalisation). It is not suitable for defensive income investors (no dividends) or risk-averse value investors given the leveraged balance sheet. The stock fits well in a thematic 'India capex cycle + metals turnaround' portfolio allocation of 3–5%.